

Pacific Park's \$5B Plan: The State Is the Only Developer Left With Patient Capital

A \$5 billion plan to finish Brooklyn's megaproject reveals who can absorb risk when private capital retreats.

The most important number in Pacific Park's \$5 billion completion plan is not the 5,600 housing units or the 1,242 affordable homes. It is the identity of the lead developer: Empire State Development. When a state agency is the one unveiling the final chapter of a 22-year megaproject, it is a signal that private capital has priced the risk of this site higher than any return the market can offer.

The plan is not a vote of confidence in Brooklyn's development economics. It is a recognition that the only entity willing to absorb the entitlement, construction, and political risk of finishing Atlantic Yards is the State of New York. The project's history is a case study in how capital stack fragility compounds over time.

Forest City Ratner launched Atlantic Yards in 2003 with a vision anchored by a Frank Gehry supertall and a new arena. The 2008 financial crisis, modular construction failures, and a decade of eminent domain litigation delayed the first phase. Greenland USA took over 95 percent of the project in 2018, only to default on nearly \$350 million in loans tied to the second phase in December 2023.

The expiration of the 421-a tax abatement in 2022 removed the subsidy that made the affordable units financially feasible. Greenland's default was not a failure of execution. It was a failure of the original capital stack. The 421-a abatement was the bridge between the cost of building affordable housing and the rent those units could generate. Without it, the math did not work.

Greenland walked away from \$350 million in debt because the equity in the project was already underwater. The foreclosure auction that followed was not a distress sale. It was a transfer of development rights to a new team-Cirrus Real Estate and LCOR-that contributed \$12 million to an affordable housing fund to offset penalties that were never enforced against Greenland. The new plan's \$5 billion price tag is not a construction budget.

It is the cost of building over a rail yard, complying with affordable housing mandates, and delivering a project that has been redesigned multiple times. The design team includes Kohn Pedersen Fox, but the real architect of this phase is the state's willingness to provide the patient capital that private equity and institutional debt will not. Who benefits?

The State of New York gets to fulfill a 2003 promise to deliver affordable housing and a completed development. Cirrus and LCOR get development fees and the credibility of finishing a marquee project. Greenland stays on as a minority partner, monetizing the B1 parcel and Site 5 across Flatbush Avenue-assets that now have a clearer path to value. Who is exposed?

The MTA, which must continue to operate the rail yard beneath the platform.

Taxpayers, who bear the risk of cost overruns and delays. And every developer watching this project, because the state's involvement sets a precedent: when private capital cannot make the numbers work, the public sector will step in to finish the job. The market should watch two things.

First, whether the ESD board approves the Site 5 two-tower project, which would test public appetite for density in a neighborhood that has already absorbed Barclays Center. Second, whether any institutional lender steps in to finance the construction phase, or whether the state ends up providing the debt as well as the development leadership. Pacific Park is not a development story.

It is a capital markets story about who is willing to underwrite risk that the private market has rejected. The answer, for now, is the State of New York.

About Us

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